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# Investor Briefing & Q1 2014 Results

April 2014

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# Introduction to Equity Bank- Investment Case

# Clear Strategy to Become One of Africa's Most Respected Banks

## 1984-1993: Building Strategy

- Equity Bank was founded as Equity Building Society
- Change in firm's strategy having been technically insolvent – focus on savings, access to credit

## 1994-2003: Establishing Capacity

- Capacity building and a focus on efficiency through computerization
- Injection of KES150m in capital by stakeholders to build a foundation for future growth
- Transformational strategy evolved from product to market led

## 2004-2006: Repositioning for Future

- James Mwangi appointed as CEO in 2004
- Re-engineering and transformation to an inclusive commercial bank
- Listing on NSE with an initial valuation of KES 6.3bn in August 2006
- US$10 MM Private Placement – British American, 16%

## 2007-2013: High Growth & Financial Leadership

- CEO named **Forbes Person of the Year 2012**
- CEO named **2012 CNBC African Leader of the Year**
- CEO named **2012 E&Y World Entrepreneur of the Year**

- Helios acquires 25% stake in Equity Bank
- Incorporated as a private company with the assets and liabilities of EBS being transferred to Equity Bank
- Raised USD 185M capital making the bank most capitalized in East Africa
- Established Visa branded ATM, POS and Mobile Banking Channels
- Regional Expansion and introduction of agency banking

## 2014: Establishing International Platform

- Kenya's **Top Tax Payers 2013**
- Best **Bank in Kenya Tier 1 2013**
- Lowest **Charges Bank 2013**
- RSM Ashvir **Best Kenyan Bank**
- Citi's **2013 Performance Excellence Award**

- Largest banking entity in Kenya by customer base with 14% market share with an asset base of over KES 295Bn
- Presence in five countries, globally recognized and rewarded business model

1984-1993 | 1994-2003 | 2004-2006 | 2007-2013 | 2014

# The Equity Story – Drivers for Renewed Growth

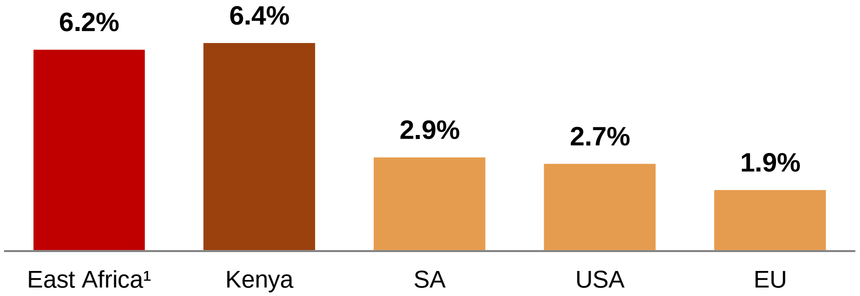
1. Strategically Positioned in Fast Growing Region of East Africa
2. Outstanding Growth Trajectory and Profitability
3. Asset Quality with Strong Funding
4. Innovation and Technology Driving Growth
5. Strong Management Team with Proven Track Record
6. Market Leadership and Brand Recognition

# Benefitting From Attractive Macro Tailwinds

## Significant Growth Prospects

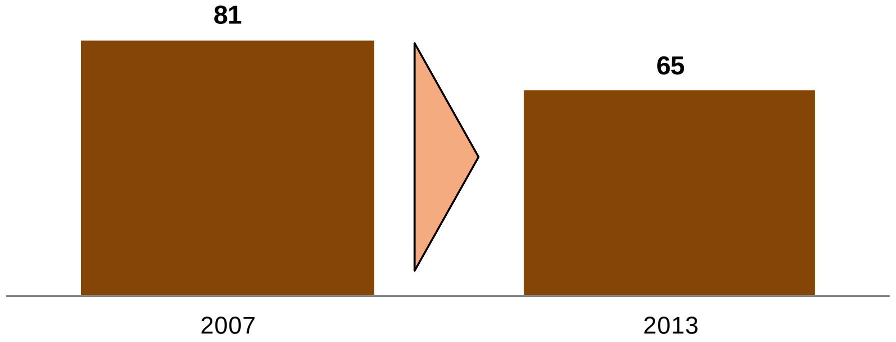
- Acceleration of growth forecasted by the IMF
  - 2007-2013 average GDP growth of 5.1% vs. **6.2% expected average GDP growth for 2014-2019**
- **Diversified economy**

**2014-2019 Average GDP Growth Forecast**

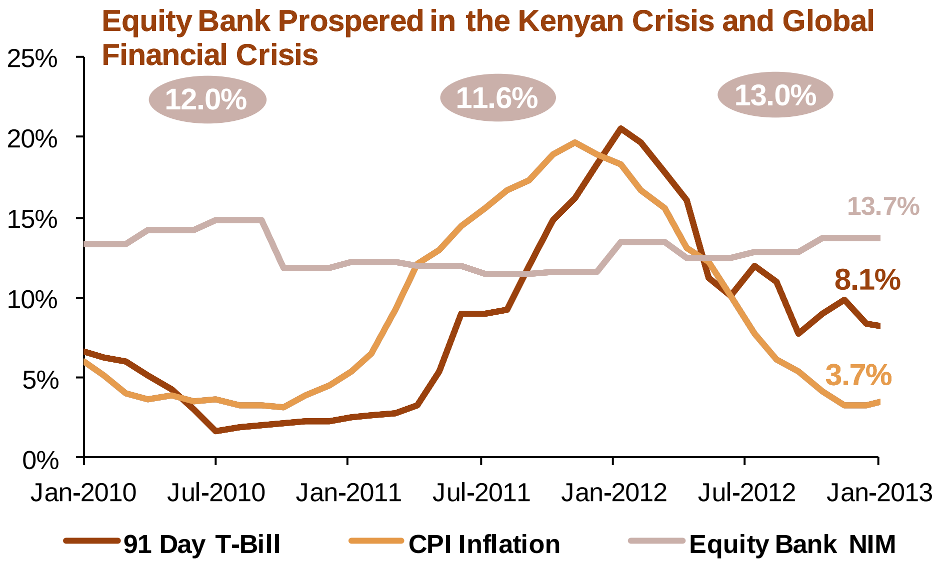



## Improving Doing Business Environment²

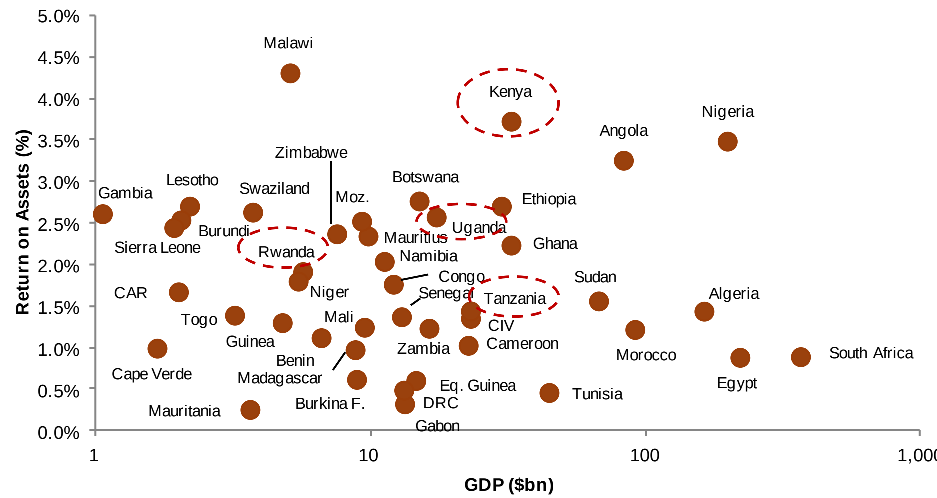
**Doing Business Ranking**




## The Monetary Crisis Is Well Behind Us




## East African Banks Among the Most Profitable in Africa




*Source: IMF WEO databse, Kenya government website, Kenyan National Bureau of Statistics, company filings and Bankscope*

*¹ East Africa includes: Kenya, Rwanda, Tanzania, Burundi and Uganda*

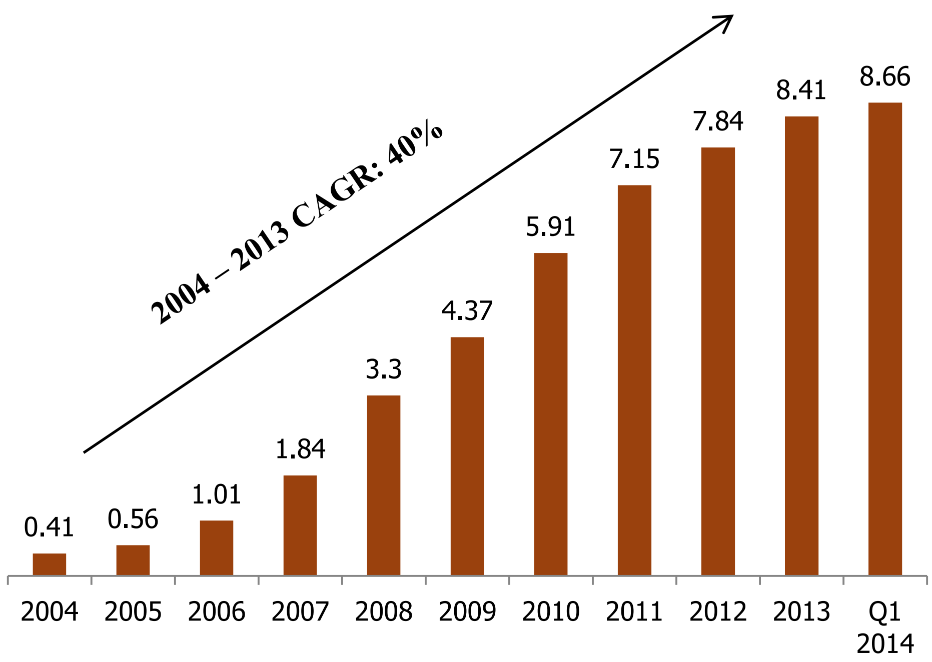
*² Rank rebased to 100. 1=top of class; 100=bottom of class*

# Retail Savings-Led Business Model Targeting the Mass Market…

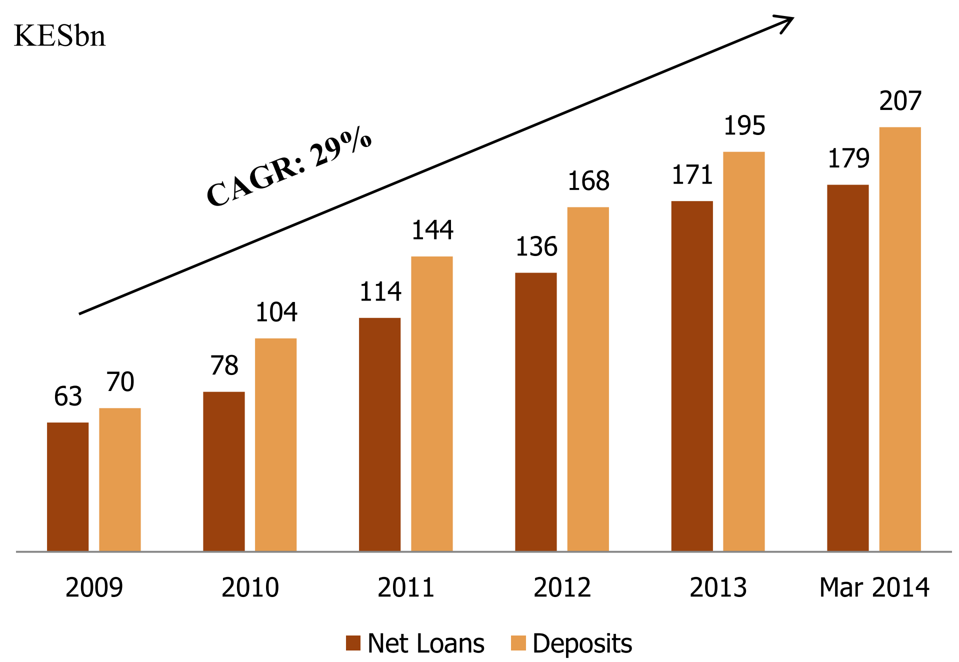
## Deposit Gathering Drives Lending

- **Mass market banking model with 8.7 million customers** and over **60% market share of new accounts in Q1 2014**
- Gathering **large volumes of relatively small deposits** resulting in low cost, stable funding
- **Short-term small loans minimise cost of risk** – customers incentivised to repay and up-size
- **Diversified** and highly efficient methods of attracting customers
  - — Unrivalled mobile banking service ("EAZZY 24/7") with multiple instant banking functions available on mobiles
  - — Rollout of **agency banking** to get closer to customers in remote areas

## Customer Evolution (m)




## Loans/Deposit Evolution



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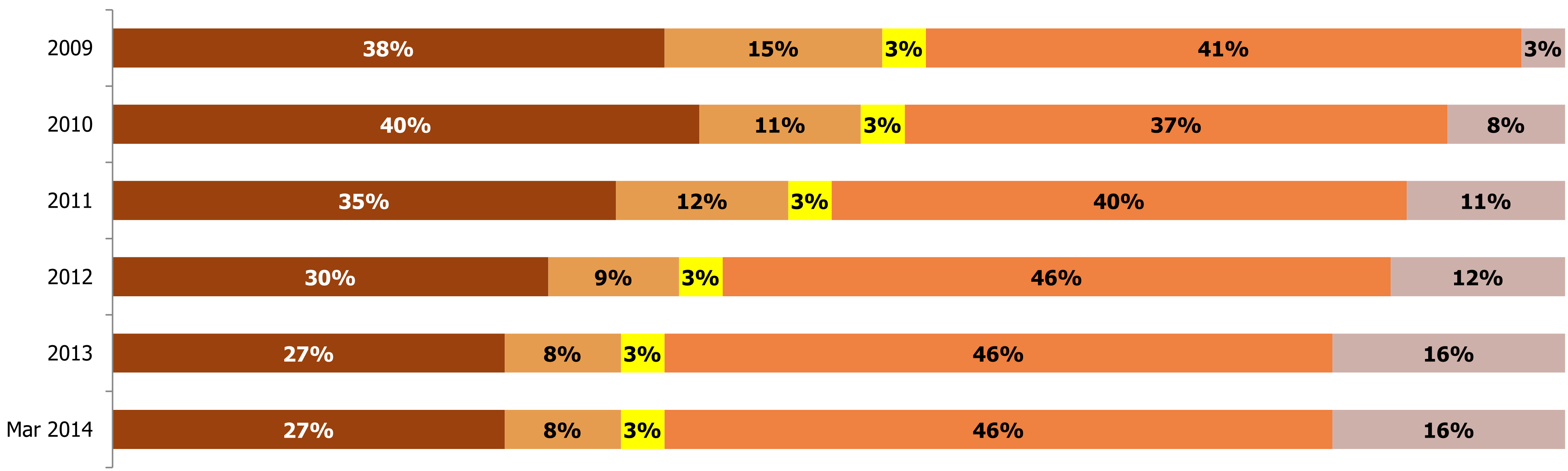
# …Driving Lending To Key Retail Segments

- Consumer
- Micro Enterprises
- Agriculture
- Small and Medium Enterprises
- Large Enterprises

## Loan Composition



# Experienced Local and International Leadership Team

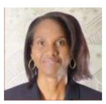
## Highly Regarded Management and Strong Corporate Governance

**DR. JAMES MWANGI, CBS**
**Chief Executive Officer & Managing Director**
- Bachelor of Commerce degree and is a Certified Public Accountant
- Over 25 years of management experience

**JULIUS KIPNG'ETICH**
**Chief Operating Officer**
- Masters of Business Administration and Bachelor of Commerce (Accounting Option).
- Over 18 years of management experience. He joined Equity in 2004 as board member and management in 2012.

**MARY WAMAE**
**Director of Corporate Strategy & Company Secretary**
- LLB degree, Diploma in Law & Certified Public Secretary
- Over 14 years of experience in legal practice and joined the Bank in 2004

**JOHN STALEY**
**Chief Officer – Finance, Innovation and Technology**
- MSc. In Applied & Computational Mathematics, BSc. in Physics; qualified Chartered Accountant
- Over 23 years of experience



**DR. HELEN GICHOHI, MBS**
**Managing Director, Equity Group Foundation**
- Ph.D. in Ecology, MSc in Biology, BSc in Zoology
- Helen joined Equity Bank management in 2012

**JUMAANE TAFAWA**
**Director, Strategic Partnerships**
- MPA in International Development from Harvard University
- Over 11 years experience. Joined Equity Bank in 2012

## Recent Appointments

**RAPHAEL HUKAI**
**Chief Information Officer**
- B.S. degree in Computer Science from the Institute of International Politics of Beijing, China.
- Joined Equity Group in December 2013 after over 16 years of service at IBM Corporation

**REUBEN MBINDU**
**Human Resource Director**
- BSc in Computer Science from Germany and is a full member of the Institute of Human Resource management in Kenya
- Expertise in various fields including technology, auditing, communication and human resources having worked at senior management levels in various organizations
- Joined Equity Group from Standard Chartered, where he was the Director of Human Resources for East Africa.

**ENRICO NORA**
**General Manager, Mobile Innovations**
- Holds a Master Degree in Industrial Engineering from the Polytechnic of Milan, Italy and an MBA (with honours) from the University of Chicago, USA
- Was based in Singapore as CFO & COO of DOCOMO Intertouch, a division of NTT DOCOMO of Japan

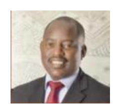
**ROHIT KUMAR SINGH**
**Group Executive Director – Corporate & SME Banking**
- IESE Business School, Strategic Leadership Program, Carnegie Mellon University, Boston College, Master of Science (Finance),Cardiff Business School, Cardiff, UK
- Previously worked with Emirates NBD Bank Deputy Head - Group Strategy, Business Development Asia, Managing Director and Country Head of India, McKinsey & Company , Corporate Finance & Strategy Specialist

## Executive Directors

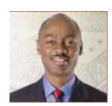
**GERALD WARUI**
**Director of Customer Service, Research & Development**
- Certified Public Accountant (CPA K) and a graduate of Advanced Management
- Gerald has served in Equity Bank for 15 years

**ALLAN WAITITU**
**Director Special Projects**
- Graduate of Advanced Management Programme
- Over 21 years experience in information technology and banking
- Joined Equity Bank in 2003

**HILDAH MUGO**
**Director of Operations**
- MBA - strategic management and a Bachelor of Business Administration
- Over 21 years of banking experience and joined Equity Bank in 2004



**MICHAEL WACHIRA**
**Director of Treasury and Marketing**
- Bachelor of Science degree in Economics and a MSC in Investment Management
- Over 16 years of experience and joined Equity Bank in 2009



**ISAAC MWIGE**
**Director of Relationship Banking**
- Masters degree in International Business Administration, Bachelors of Business Administration
- Over 16 years of banking experience and joined Equity Bank in 2012

**ELIZABETH GATHAI**
**Director of Credit**
- MBA, Bachelor of Commerce (Finance), CPA(K)
- Over 12 years of banking experience and joined Equity Bank in 2001

# East and Central Africa's Most Recognized and Trusted Brand

- Equity Bank has embarked on a number of initiatives to create **brand awareness** and develop the local economy
- **Wings to Fly Program**: A total of over 10,000 scholarships awarded to bright needy students to date which was the target set for 2015
- **Financial Literacy Training (FIKA) Program**: Over 1 million people trained already as at the end of year 2013 which was the target set for 2014
- **Social initiatives help acquisition of new customers** and increase loyalty of existing ones

EUROMONEY 2012 — Equity Bank — Best Managed Company in Africa, Banking & Finance Sector

MFTransparency SEAL of PRICING TRANSPARENCY awarded to Equity Bank by mftransparency.org Oct. 2013 – Oct. 2014

PayPal

WORLD ECONOMIC FORUM — COMMITTED TO IMPROVING THE STATE OF THE WORLD

*Ranked 4th globally in asset Deployment Efficiency 2013*

*2013 Best Bank Tier 1*

*African Business Leader of the year 2013*

*Best Financial Institution Award at the ASK Nyeri show2013*

*Basketball champions at the 2013 Kenya Basketball Federation*

*Overall Best Bank in Kenya 2013*

*Equity Bank awarded Micro Finance Transparency Seal 2013*

*Capital Markets Awards Chairman of the year 2013*

*Best commercial bank stand in the 2013 ASK Nairobi Trade Fair*

*Overall winner at the inter-bank games 2013*

GCR GLOBAL CREDIT RATING CO. Local Expertise • Global Presence

africainvestor

Equity Bank CEO Dr James Mwangi was awarded the African Business Leader of the Year

The Banker TOP 1000 WORLD BANKS 2013 — GLOBAL BANKING INSIGHT

| | Tier 1 Capital | Asset Size | Soundness Capital Asset Ratio | Capital Deployment Efficiency | Asset Deployment Efficiency |
|---|---|---|---|---|---|
| **Global Rank** | **999** | **976** | **94** | **12** | **4** |

# Equity Group Foundation Initiatives

**Committed to developing a skilled community to grow the Kenyan economy**

### Entrepreneurship and Innovation

- **Pilot entrepreneurship training program** to develop small business skills through entrepreneurship training and business advisory services to develop and grow youth and women-owned microenterprises
- Partnership with The MasterCard Foundation and ILO

### Financial Literacy and Education (FIKA)

- **Financial education program** aimed at women and the youth
- The program commenced in 2010 and by the end of 2013, over a million people had benefited
- Partnership between The MasterCard Foundation and Equity Bank

EQUITY GROUP FOUNDATION

### Agriculture, Health and Education Pillars

- The foundation has continued to **support agriculture by developing innovative solutions** with partners and stakeholders in the agriculture and environment value chains
- Increased investments **in Education** through curriculum development and **Health Pillars** through **Equity Afya and Mama**

### Environment conservation and Sustainability

- The Foundation has partnered with Kenya Forest Service, supported by FAO, to improve the **livelihoods of farmers around the Mau forest** water catchment area


# Update on Strategic Initiatives

# Strategic Initiatives Driving Growth in Q1 2014

**5. Regional Expansion**

Present in 5 countries

**6. Divisional Diversification**

Custodial, Brokerage, Investment Bank, HFCK, Insurance, Finserve etc

**3. Consolidating International Linkages & Development**

**19%** growth in Diaspora remittances and controlling **16.8% market share**

**4. Merchant Business & Payment Processing**

5**8%** growth in commissions

**1. Innovative Delivery Channels e.g. Agency, Mobile Banking (Telcos)**

**60%** growth in number of agents

**2. Focus on SME Banking**

**30%** growth in SME loans & now contributes **62% of the loan book**

Our Foundation: **Solid ICT Infrastructure** Supporting our Business

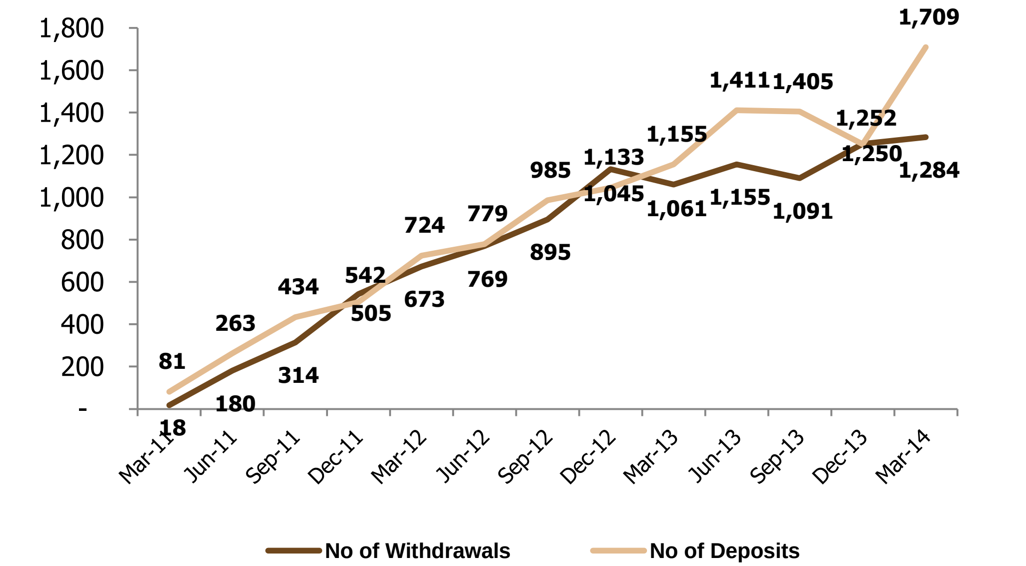
**Ability to support subs**, Insurance, Finserve, Investment bank, Custodial & Brokerage

# 1. Innovative Delivery Channels: Agency Banking Model - 60% growth y-o-y through

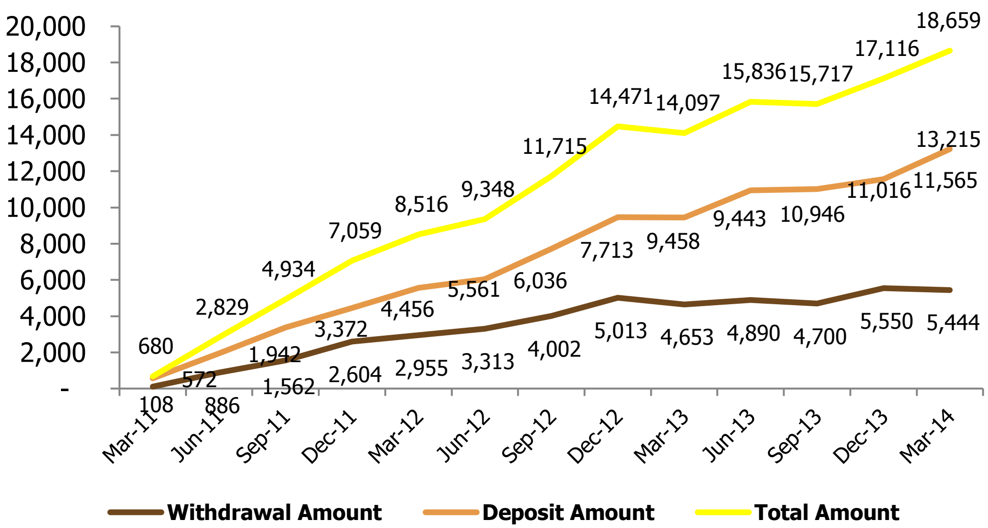
## Key Initiatives

- Extremely successful initiative in Kenya – number of agents increased from 875 at the beginning of 2011 to **11,009** agents by **March 2014**. Over **60% growth y/y**
- Scalable business model for regional expansion rolled out in **Rwanda and Tanzania**
- **Variable cost model**: leverage on 3rd party infrastructure and cash flows
- Currently doing **Account opening origination, cash deposit** and **withdrawal, balance enquiries** with potential to increase product offering to include **Insurance sales, Air ticket sales,**
- **Risk control** and management using Equity Bank IT Infrastructure
- Benefits to the **community, the agents and bank** in various ways.

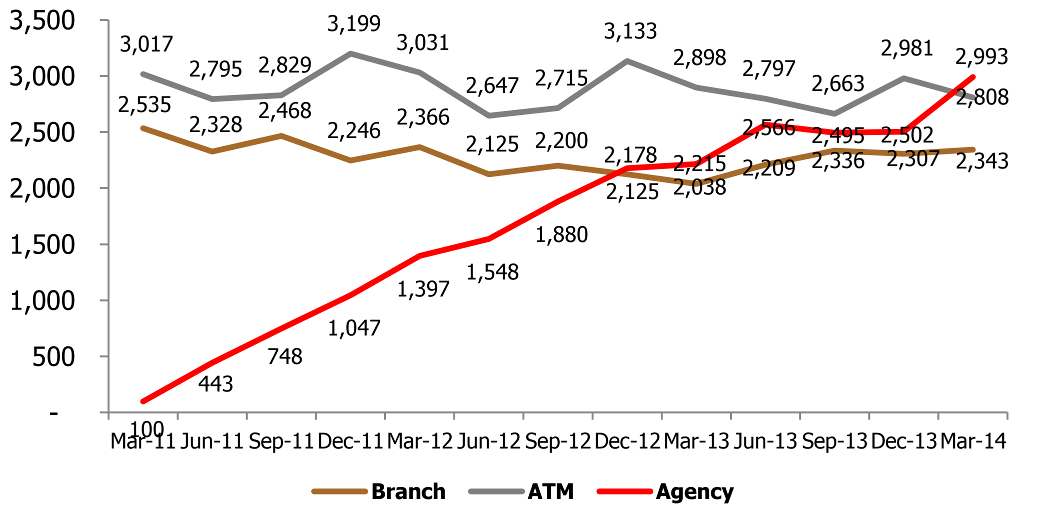
## Transaction Volumes at the Agents ('000)




## New Source of Low Cost Deposits (KESm)




## Cash Transactions at Agency Overtakes Traditional Channels ('000)



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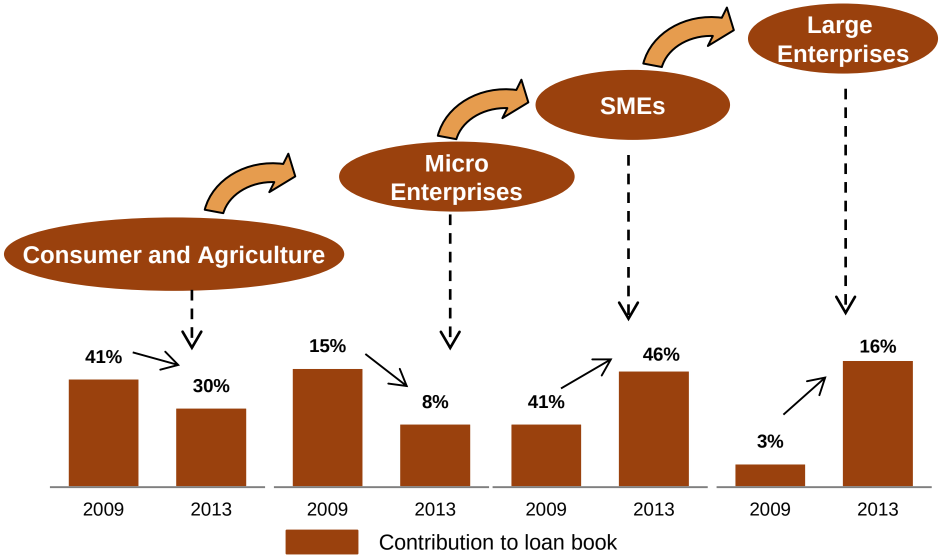
# 2. Focus on SME Banking: Nurturing Client Evolution

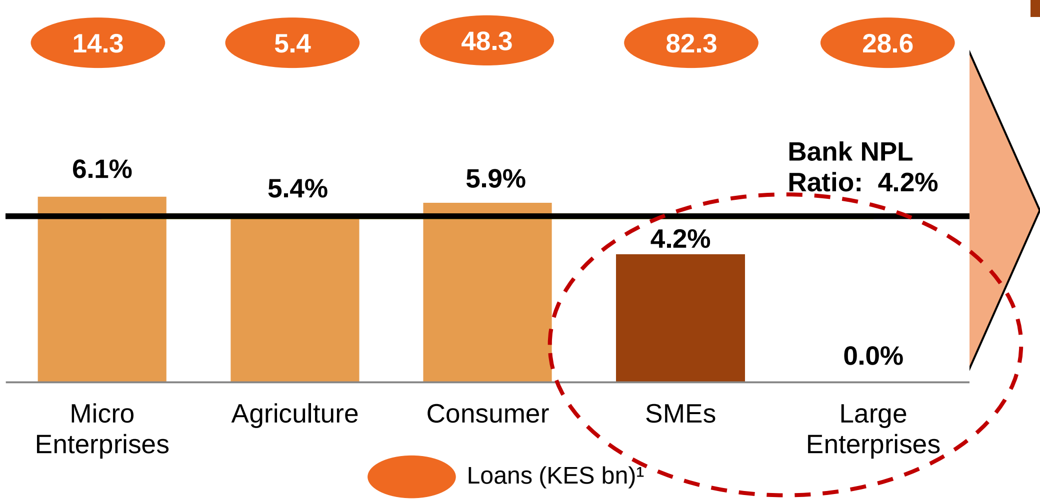
## We Are Following Our Customers Evolution



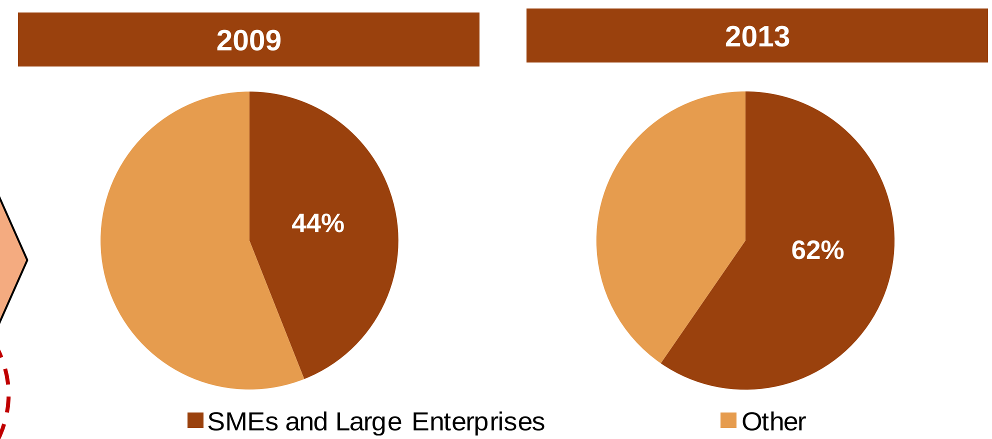

## Commentary

- **Consumer and agricultural** still remain our core areas but contribution now a reduced portion of the loan book
- **Microenterprises** still our core area but Improving macroeconomic environment driving evolution of micro enterprises into SMEs
- Increased lending **to SME as a proportion of the loan book**
- Enhancing delivery by hinging on **Value Chains and Clusters**
- Focusing on value chain & clusters within **large enterprises**

## Low Risk Strategy




## Increasing Focus on SMEs Loan Book




***SME and large enterprises now account for 62% of the loan book***



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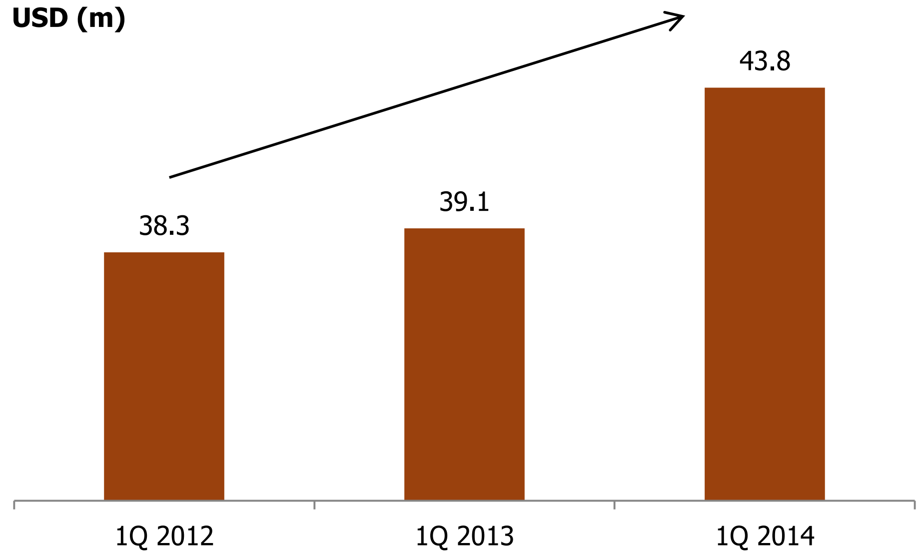
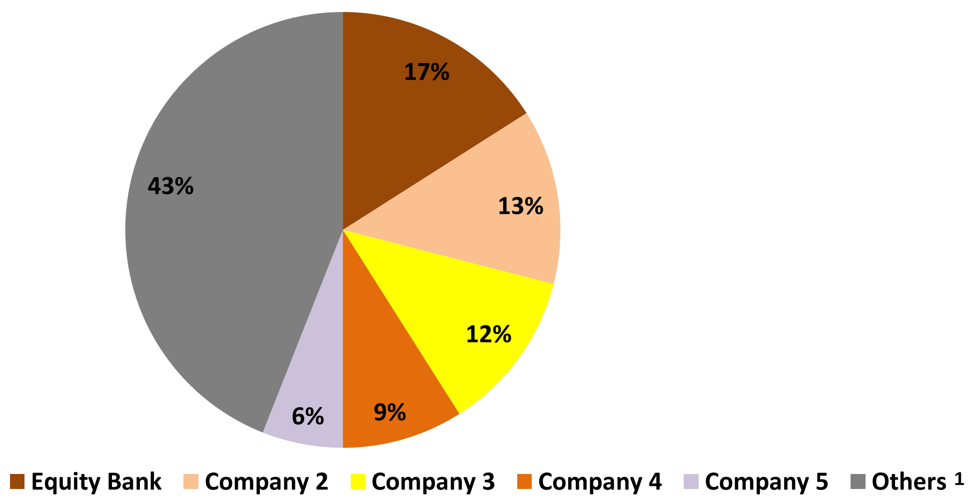
# 3. Consolidating International Linkages and Development

## Equity Bank Currently Leads Monthly Diaspora Remittances (USDm)




- **Growing international trade** in the region giving rise to increased FX flows as **more SMEs and multi-national corporations** view Kenya as a regional hub
- Remittances are a **good source of short term FX funding** and profitable line of business

## Market Share of Remittances



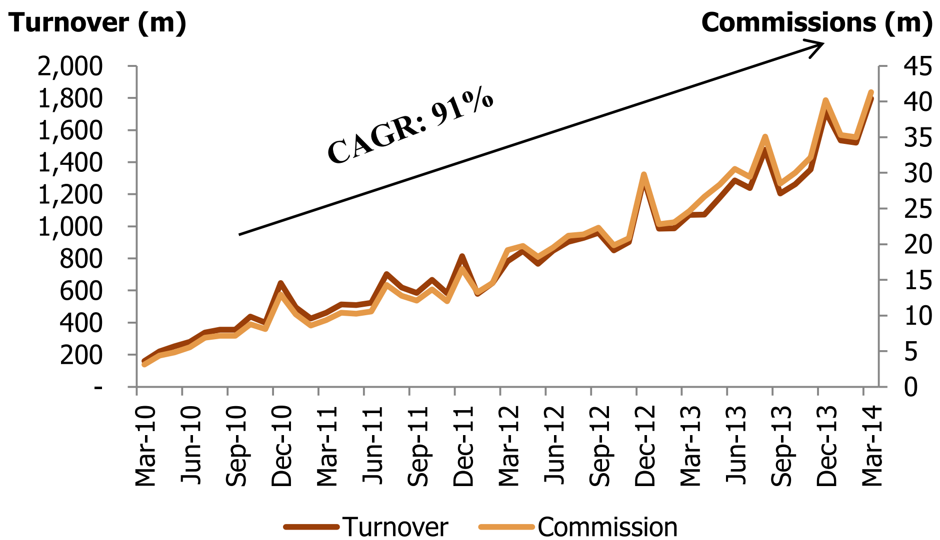

Source: Central Bank of Kenya

[1] Others includes over 30 institutions

- Market leader with approximately **16.8% market share**
- In 2013, **USD 185m** from the diaspora was channelled into the country through Equity Bank
- **10.3% increase** in the sector in 2013 vs. 2012
- Increased remittances that have continued to flow in to the country will take the space of **declining FDI**

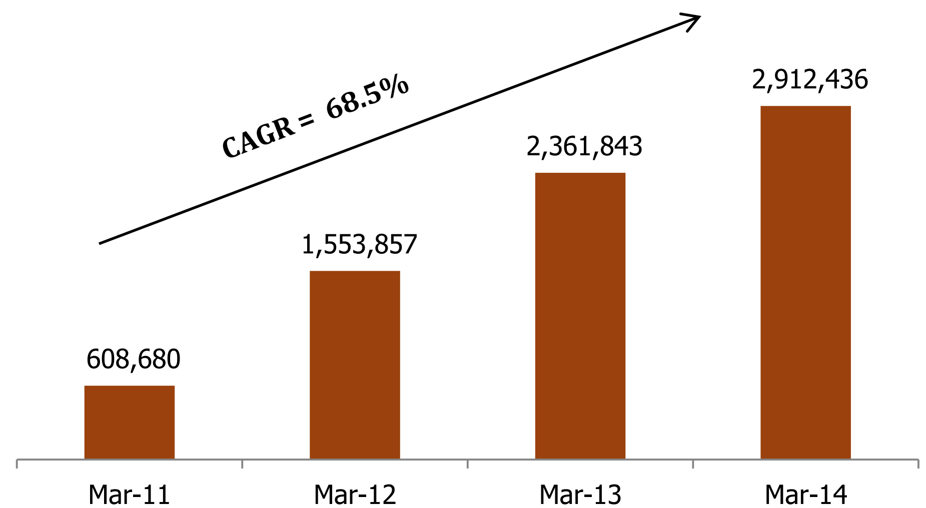
# 4. Payment Processing & Merchant Business

## Turnover and Commissions




- **Equity Bank well positioned to significantly increase volumes and commission**

## Mobile Banking Customers



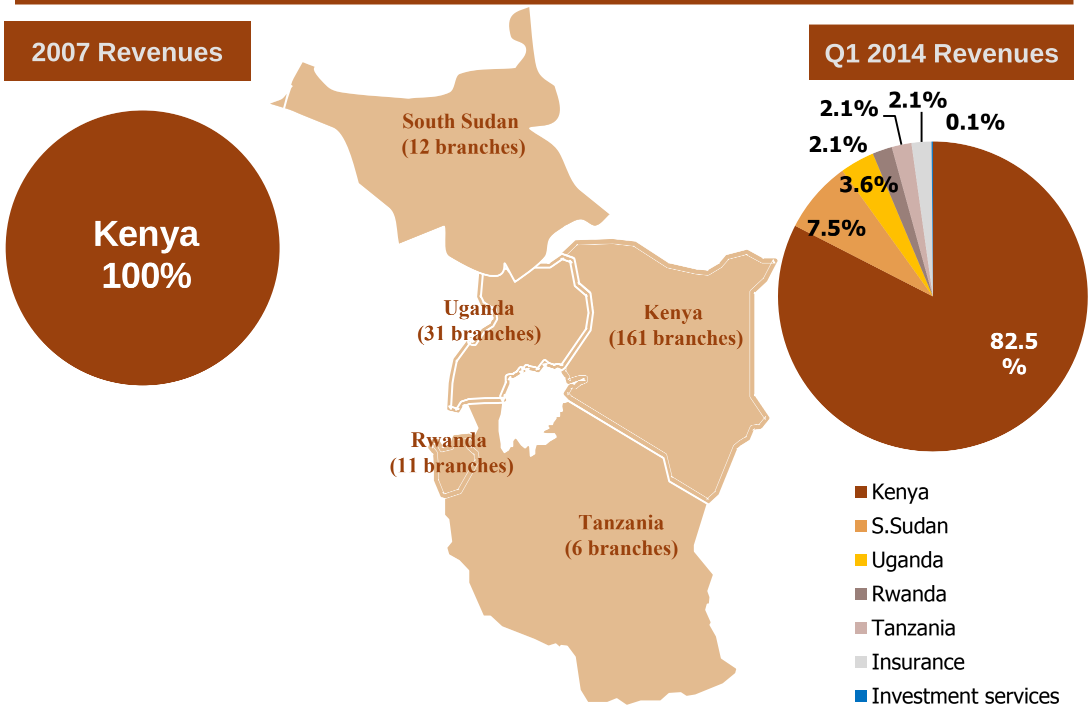

- **Cash Lite system and ease of transaction processing driving buyer values and customer stickiness**

## Partners

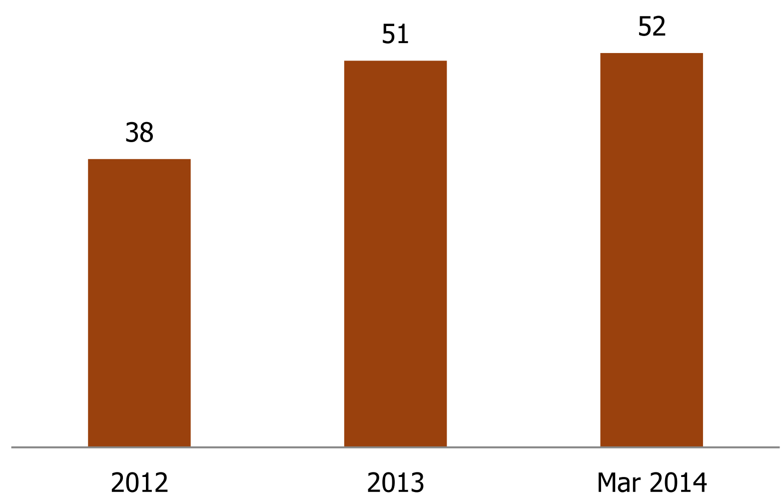
- **Strategic partnership with merchants driving mobile banking business**
- **Best in class payment channel services**

# 5. Regional Expansion & Diversification

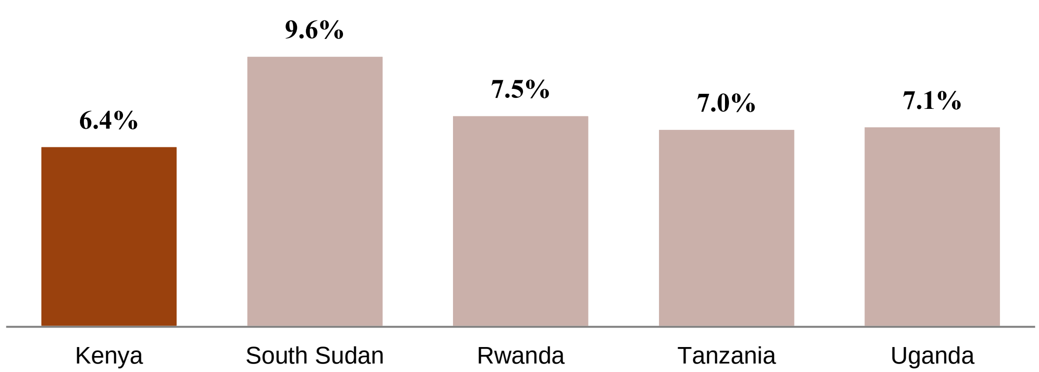
## Equity Bank Presence in East Africa



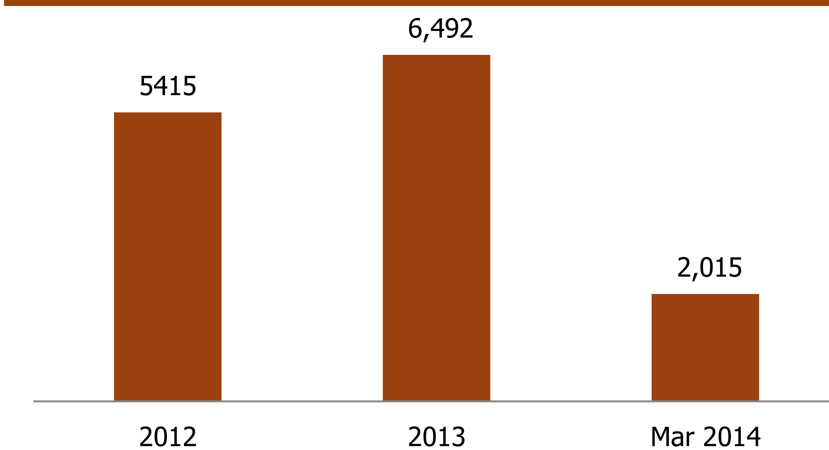

## Subsidiaries Assets Evolution (KESbn)




## Real GDP Growth – Next 5 Years[1]




## Subsidiaries Revenues Evolution (KESm)




1. Average GDP growth 2015 - 2019. Source: IMF projections

# Financial Performance

# Key Q1 2014 Highlights

| | |
|---|---|
| **Exceptional increase in Q12014 profit** | • **21% growth in PBT; 19% growth in PAT** in Q1 2014<br>• Driven by successful **diversification from interest income and efficient cost management** structures underpinned by declining C/I Ratio |
| **Continuous trend of loan and deposit growth** | • Continued **excellent growth rate in deposits driven** by increasing **customer base**:<br>• Strong deposit to loans relation with deposits at 70% of total funding and LTD ratio of 87% in Q1 2014 |
| **Asset quality backed by strong funding** | • Group remains well capitalized with core capital to RWA in excess of CBK requirements<br>• **Funding** sourced primarily through **low cost savings deposits**<br>• **Sound asset quality,** with prudent **coverage** & **provisioning** |
| **Attractive returns for shareholders** | • Continued **excellence in Profitability with RoAE (31%) and RoAA (5%)** remaining stable and higher than industry average during period under review |
| **Compelling investment case in the region** | • Accelerated growth and **increased market share through subsidiaries**<br>• **Integration of East Africa** and quickening economic growth have presented significant opportunities |

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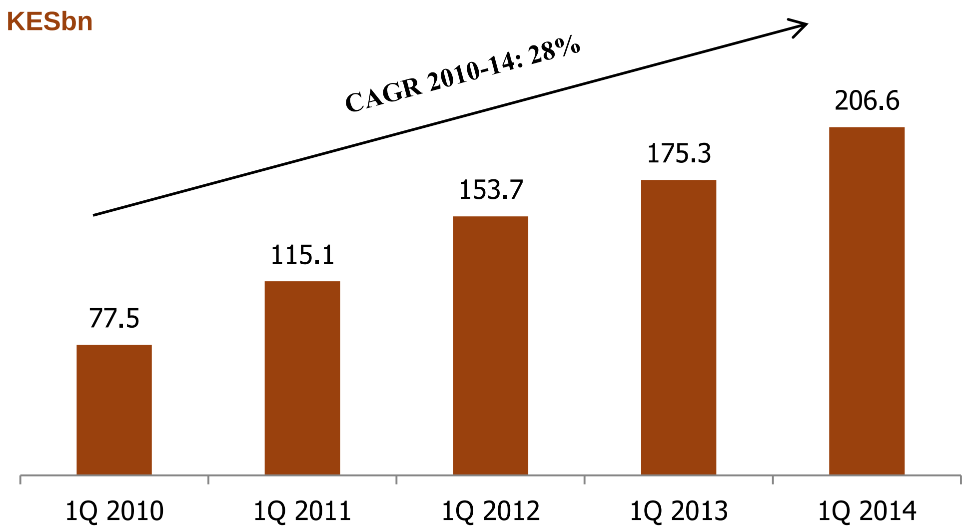
# Q1 2014 Results and Key Financials

# Q1 — 250,000 New Customers Driving Growth of Deposits

## Deposits Evolution

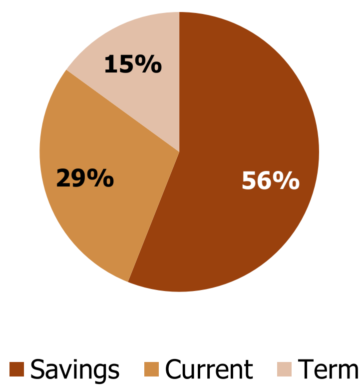



## Highlights

- **Growth in deposits for the Group was 18%** year on year
- **250,000 New Customers** added to close Q1 with Group customer numbers at **8.7m**
- At **KES 206.6 Bn** Deposits constitute **70% of total funding**
- **Term deposits** account for **15%** of deposits, **Savings 56%** and **demand accounts 29%** as at end of Q1 2014

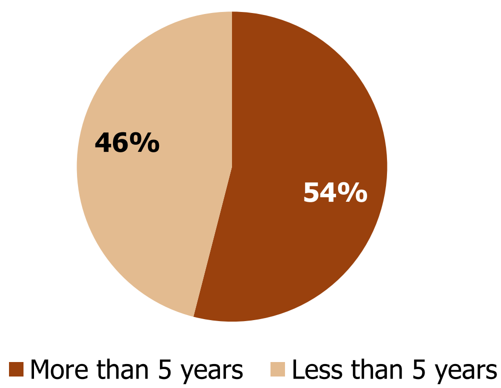
## Q1 2014 Deposits Breakdown

### By Type[1]



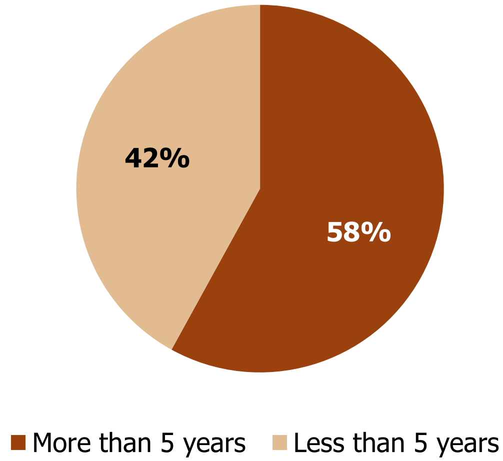

**Total: KES 207bn**

### By Maturity[1]




**Total: KES 207bn**

## Q1 2014 Funding Breakdown by Maturity[1]

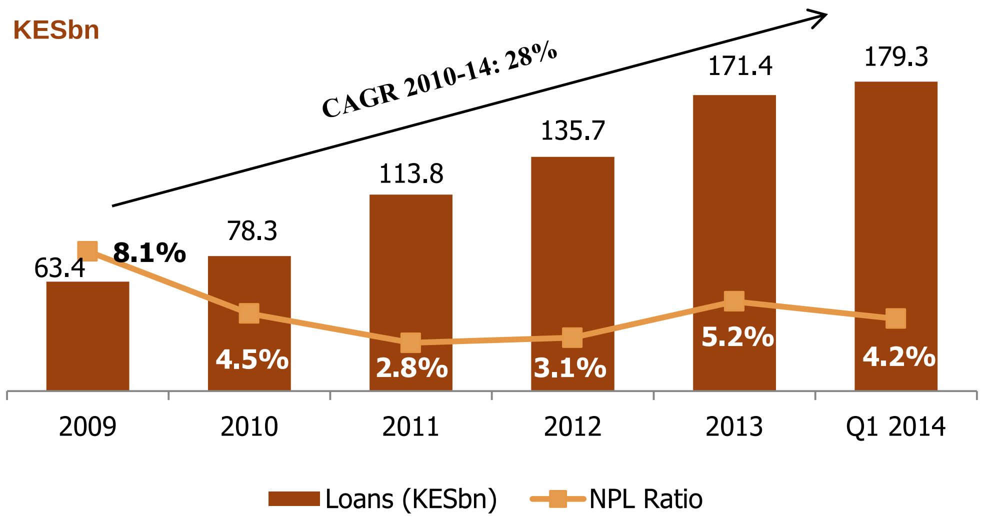



**Total: KES 295 bn**

1. Split based on Kenya only

# 28% Growth of the Loan Book

## Net Customer Loans Evolution

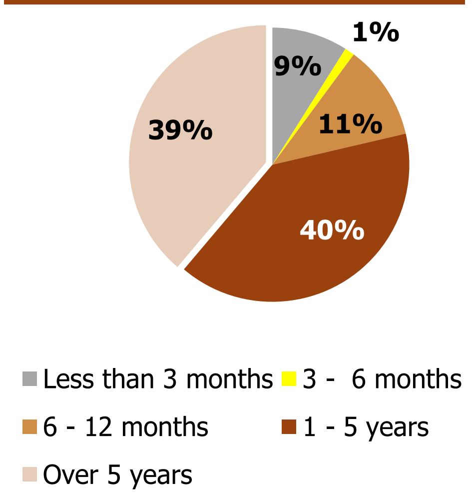



## Key Commentary

- Continued **growth in the loan book** achieving a **28% growth** y/y
- **10% growth in loan accounts**
- **Significant reduction** in **NPL** in Q1 2014 down to **4.2% from 5.2%** in Q4 2013
- Loan book split into **5 client types**: **Consumer, Agriculture, Micro, SME and Large Enterprises**
- Portfolio **diversified** across various economic sectors such as **personal and household, trade and industry, transport & logistics, energy, agriculture and real estate**

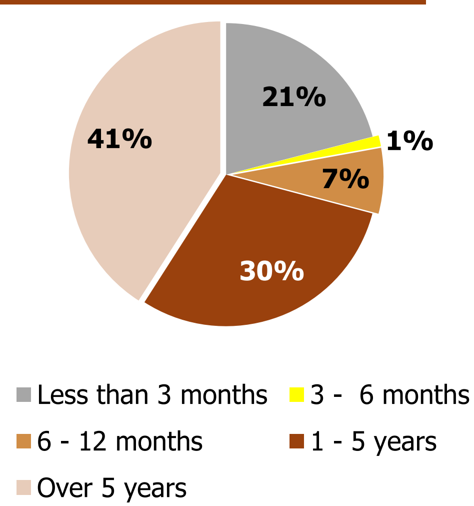
## Breakdown by Maturity

### Q1 2014 Loan Book[1]




**Total: KES179bn**

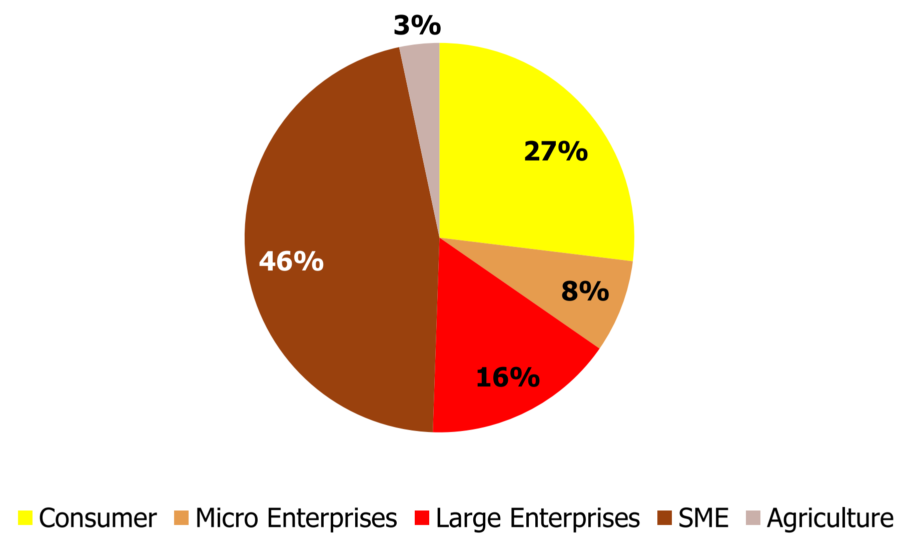
### Q1 2014 Assets




**Total: KES 295bn**

## Q1 2014 Loan Book Breakdown By Customer Type

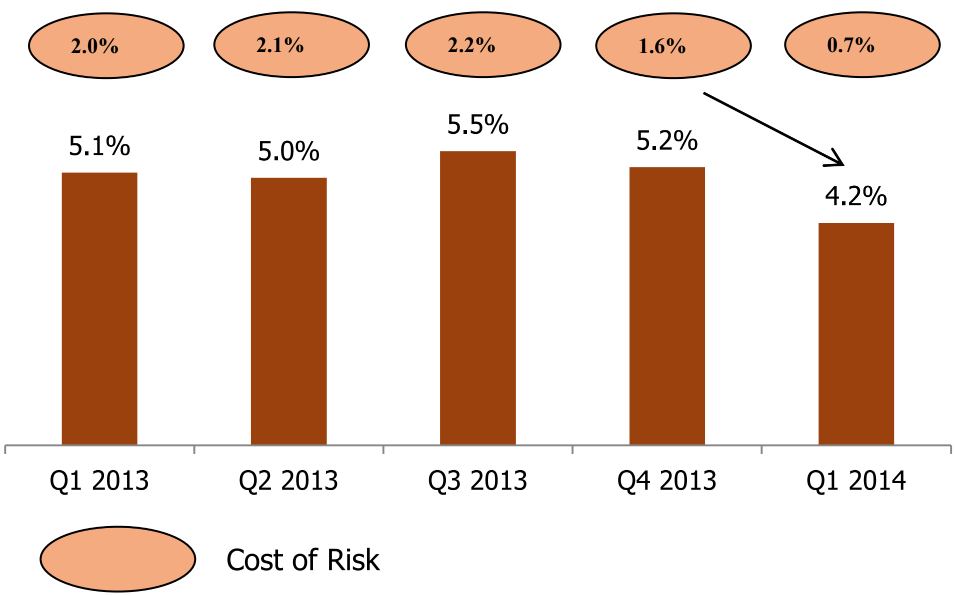
**Total: KES179bn**




1. Split based on net loans from Kenya only

# Reduction in NPLs in Q1 2014 Signifying Sound Asset Quality

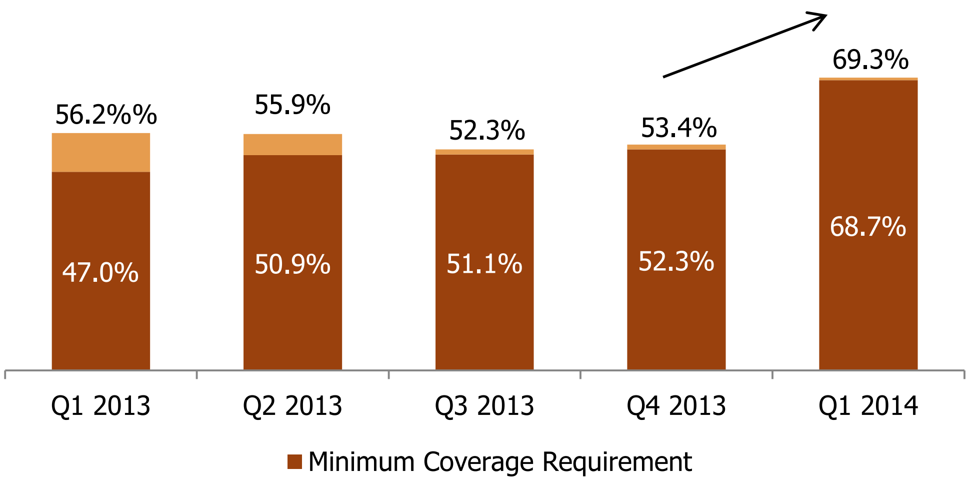
## Gross NPL Ratio – Improved in Q1 2014




## NPL Ratio Evolution

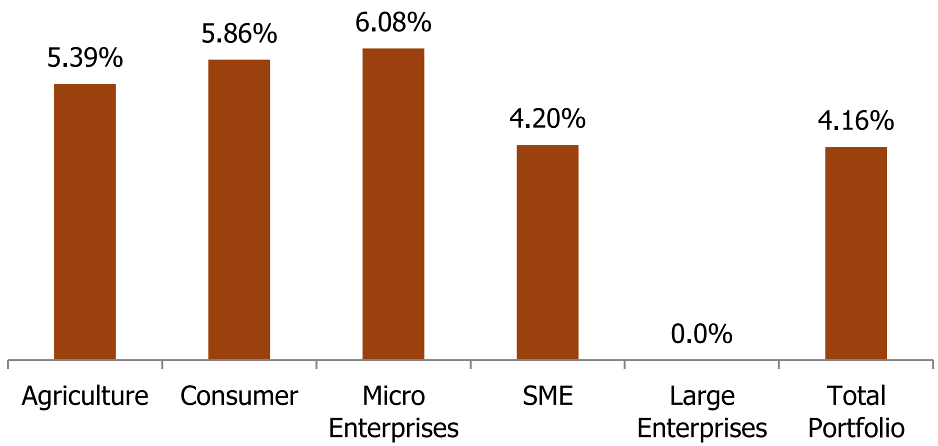
- **Gross NPL ratios** have improved significantly to close at **4.2 %** from **5.2% in** Dec 2013
- Q/Q improvement in NPL ratio with **cost of risk** lowering to **0.7%.**
- We expect **reasonable write backs of provision** in subsequent periods from successful remedial actions
- Continually on the **watch out for South Sudan** due to political instability
- Loan book continues to be **well provisioned** to cushion against any adverse shocks

## Comfortable Coverage: Coverage Ratio Evolution[1]



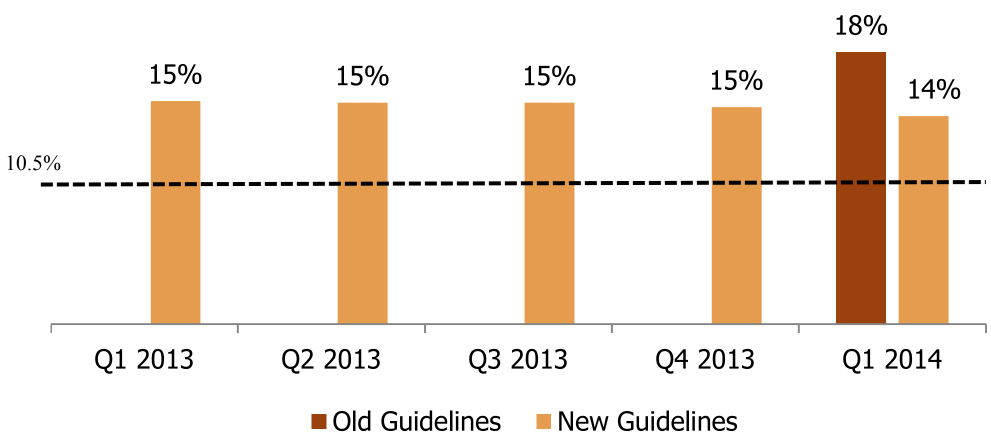

1. Under CBK rules

## Gross NPL Ratio By Sector Q1 2014

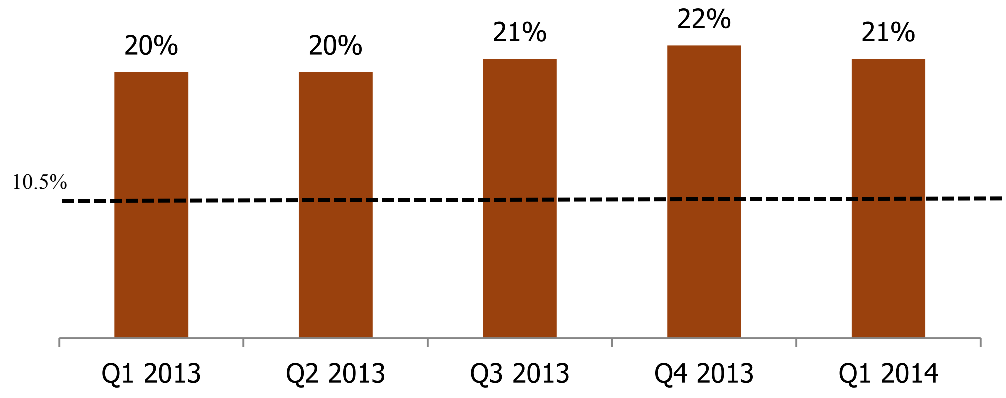


# Well Capitalised and Liquid Balance Sheet

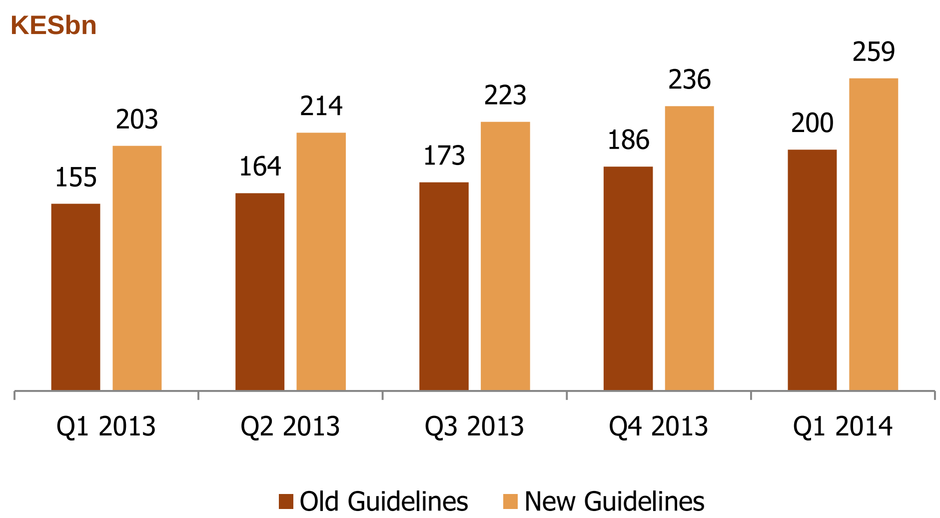
## Core Capital to Risk Weighted Assets




## Core Capital to Total Deposits




## Total Risk Weighted Assets Evolution (Kenya)



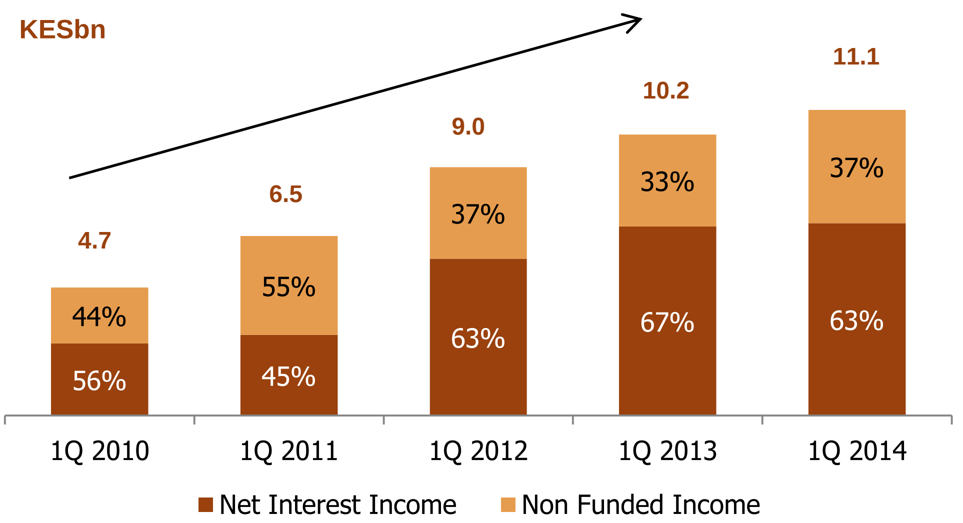

## Key Commentary

- The Bank is strong on **internal capital generation leading to a strong Total Capital** of over **KES 45.3bn**
- **Core Capital** of over **KES 36.4bn**
- The new regulatory requirements introduced **Market** and **Operational** risk as well as revised upwards the minimum regulatory capital ratios:
  - — **Core capital to total deposits** ratio: from **8.0% to 10.5%**
  - — **Core capital to total RWA:** from **8.0% to 10.5%**
  - — **Total capital to total RWA**: from **12.0% to 14.5%**

1. Split based on Kenya only

# Income growth by 9% y/y

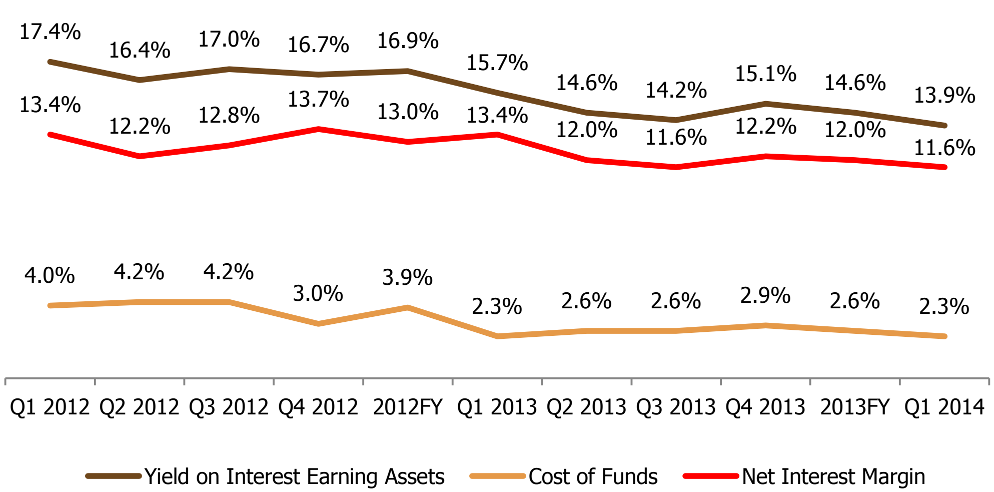
## Total Income Evolution



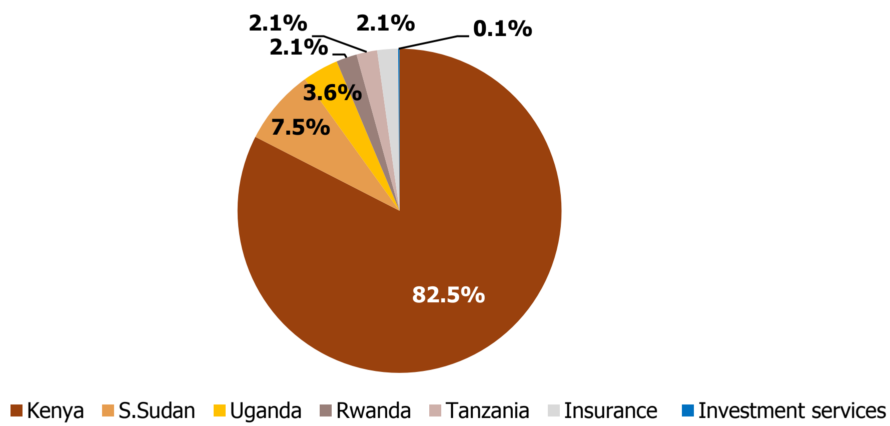

## Highlights

- Total income of the Group grew by **9%** y/y to **KES11.1bn**. **Net Interest Income** grew by **2%** y/y while **Non-interest income** grew by **24%** y/y
- Kenya continues to constitute the largest market for the Group with 82.5% share in the Group's Total Income
- **Non Funded Income** contribution increased y/y to **37%,** supported by increasing contribution from transaction based fee e.g. Trade Finance & Payment Services
- **Loan application & Processing fees** contribute largest portion of non funded income as bank has largest market share by loan accounts in the region

## Net Interest Margin Evolution



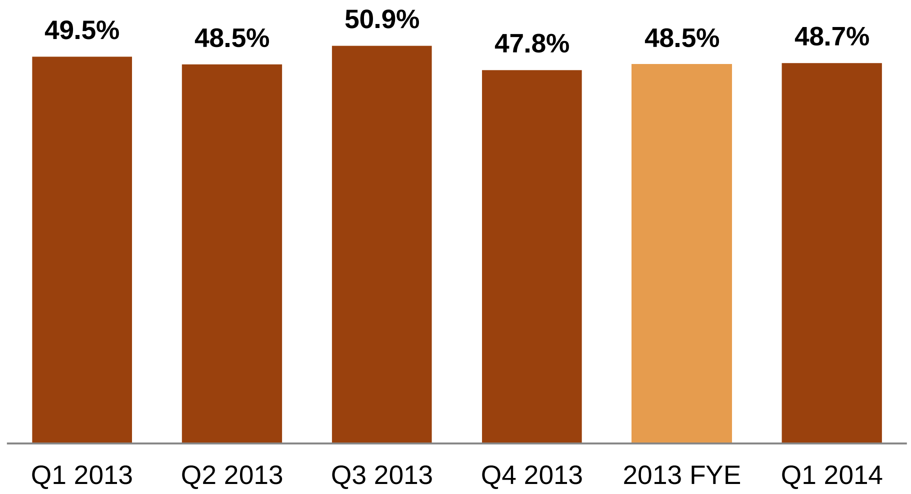

## Total Income breakdown



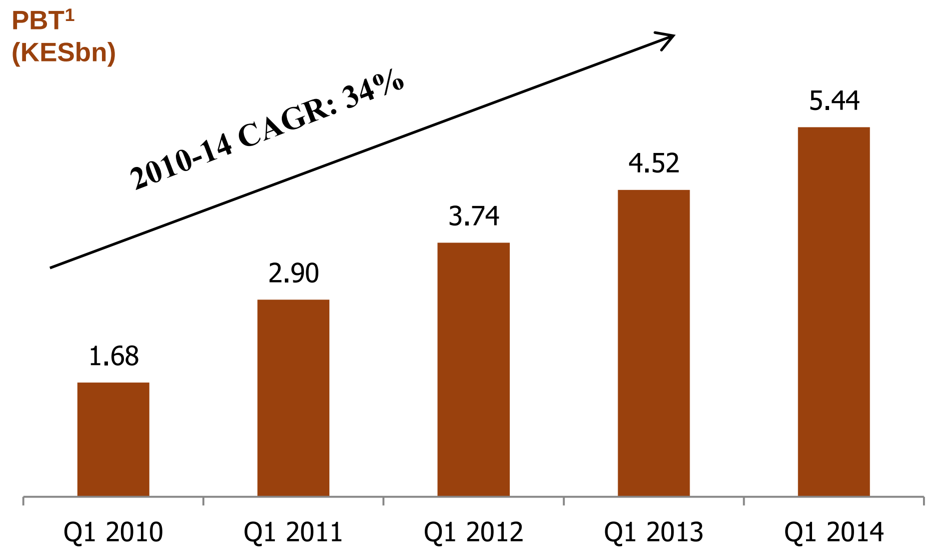

**Total revenue: KES 11.1bn**

# 30.5% ROE, 21% PBT Growth Despite Challenging Environment

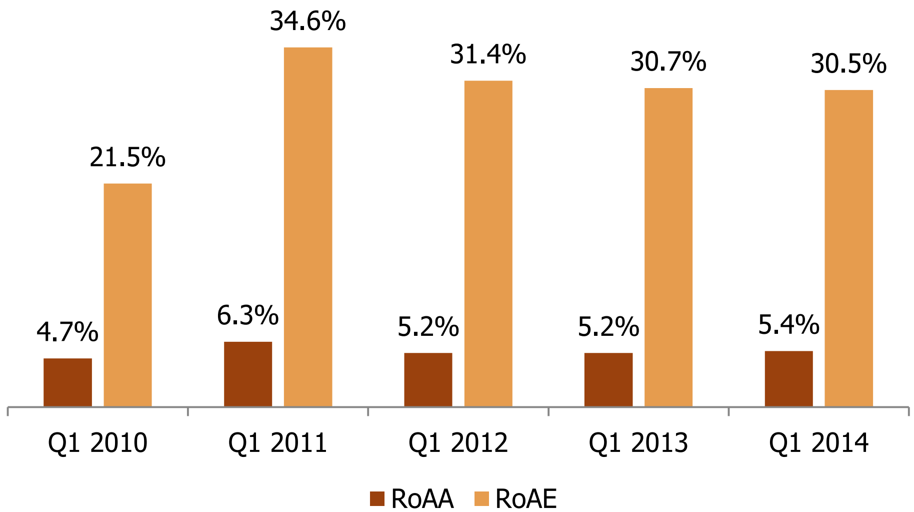
## Cost/Income Ratio Below 50%...




## …Driving Profitability…




## …Generating Compelling Returns




## Key Commentary

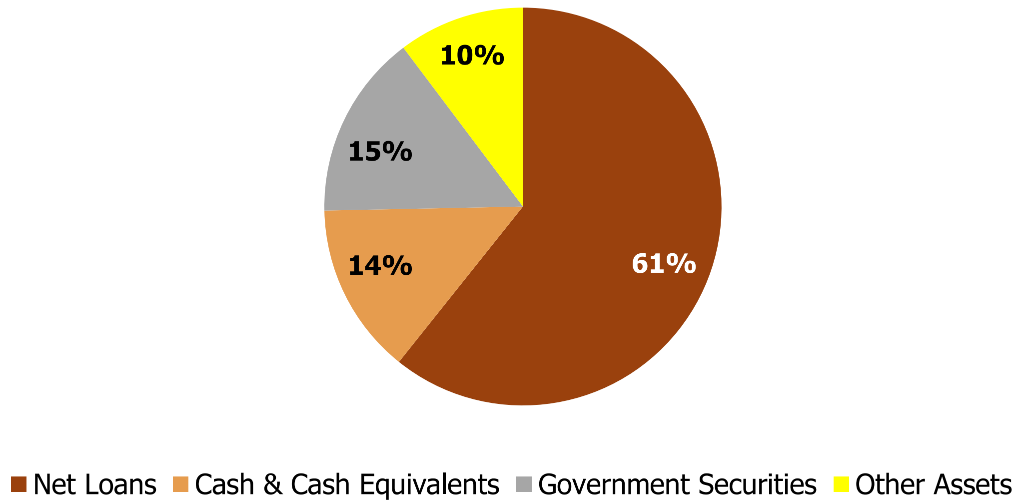
- Group PBT grew by **21%** y/y to **KES5.4bn**, despite the reduction in lending rates by 700bps
- Continued focus on profitability with a **ROE of 30.5%** despite high capital base (14.0% CT 1 ratio under the new guidelines) and **ROA of 5.4%**

1. Profit before tax after exceptional items

# Structure & Asset Portfolio

| | Q1 2013 | Q1 2014 | Growth |
|---|---|---|---|
| **Assets (bn)** | **KES** | **KES** | **%** |
| Net Loans | 139.56 | 179.31 | 28% |
| Cash & Cash Equivalents | 48.06 | 41.18 | (14)% |
| Government Securities | 40.32 | 44.41 | 10% |
| Other Assets | 24.29 | 30.36 | 25% |
| **Total Assets** | **252.23** | **295.26** | **17%** |

## Asset Distribution

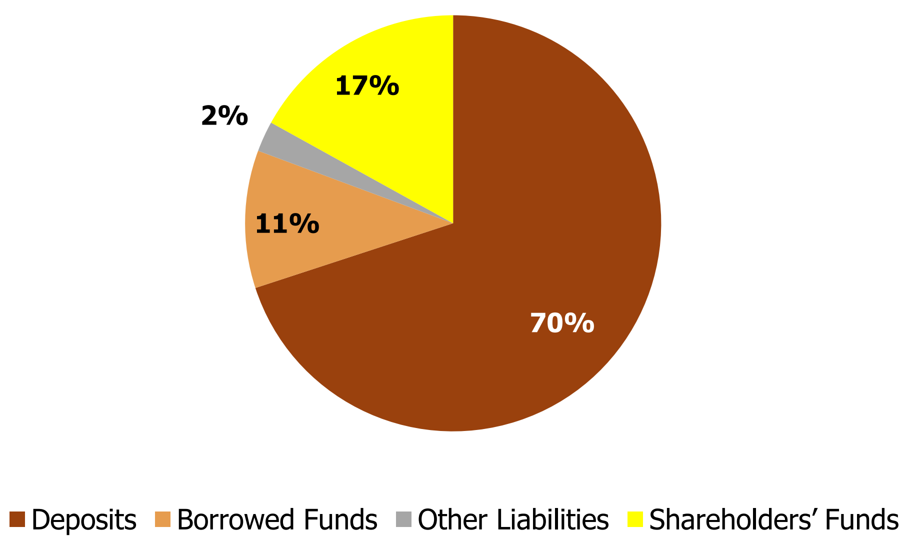



- **Loans and Advances grew by 28% yoy**.
- **Total assets grew by 17%** in the Group with a significant,
- **Liquid** Balance Sheet **at 33% compared to** the statutory liquidity minimum ratio of 20%
- **87%** of the assets are **earning assets**

# Structure & Funding Portfolio

| | Q1 2013 | Q1 2014 | Growth |
|---|---|---|---|
| **Liabilities & Capital (Bn)** | **KES** | **KES** | **%** |
| **Deposits** | 175.32 | 206.58 | 18% |
| **Borrowed Funds** | 24.78 | 31.59 | 27% |
| **Other Liabilities** | 11.30 | 7.01 | (38)% |
| **Shareholders' Funds** | 40.83 | 50.08 | 23% |
| **Total Liabilities & Capital** | **252.23** | **295.26** | **17%** |

## Funding Distribution




- **Shareholders' Funds grew by 23% with** growth mainly driven by an increase in revenue reserves
- **Shareholders' funds** consist c**. 17%** of total funding
- **Long term tenured funds** sourced from international DFIs grew by **27%**
- **Long term offshore funds** with average tenor of 7 years accounts for **11% of funding**
- **Loan to deposits ratio of 87% in Q1 2014**

# Q1 2014 Performance

| KESm | Q1 2013 | Q1 2014 | Growth |
|---|---|---|---|
| Interest Income | **7,987** | **8,417** | 5% |
| Interest Expense | (1,115) | (1,404) | 19% |
| **Net Interest Income** | **6,872** | **7,012** | **2%** |
| Other Income | 3,336 | 4,132 | 24% |
| **Total Income** | **10,208** | **11,145** | **9%** |
| Provisions | (682) | (316) | (54%) |
| Staff Costs | (1,975) | (2,415) | 22% |
| Other Operating Expenses | (3,082) | (3,012) | (2%) |
| **Total Costs** | **(5,739)** | **(5,743)** | **0%** |
| Exceptional Items | 47 | 50 | 5% |
| **PBT** | **4,516** | **5,452** | **21%** |
| Tax | (1,302) | (1,573) | 21% |
| **PAT** | **3,214** | **3,879** | **20%** |
| | **Key Ratios** | | |
| NIM | 13.5% | 11.6% | |
| C/I Ratio | 50% | 48.7% | |
| Cost of Risk | 1.98% | 0.72% | |
| RoAE | 30.7% | 30.5% | |
| RoAA | 5.2% | 5.4% | |

# Appendix

EQUITY

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# 1 Last 5 Years Consolidated Financial Performance

# Balance Sheet: Last 5 Years

| KESm | 2008 | 2009 | 2010 | 2011 | 2012 | 2013 | 2008-2013 CAGR |
|---|---|---|---|---|---|---|---|
| **Assets** | | | | | | | |
| **Cash and Cash Equivalents** | 12,766 | 12,994 | 18,503 | 35,282 | 45,134 | 34,528 | 22% |
| **Loans to Customers** | 44,194 | 63,378 | 78,302 | 113,824 | 135,692 | 171,363 | 31% |
| **Interest Earning Assets** | 69,201 | 88,525 | 140,777 | 179,608 | 221,928 | 236,629 | 28% |
| **Total Assets** | 78,879 | 100,812 | 143,018 | 196,294 | 243,170 | 277,729 | 29% |
| | | | | | | | |
| **Liabilities** | | | | | | | |
| **Customer Deposits** | 50,335 | 69,843 | 104,431 | 144,165 | 167,913 | 194,839 | 31% |
| **Borrowed Funds** | 6,463 | 6,486 | 7,964 | 14,792 | 26,569 | 26,731 | 33% |
| **Other Liabilities** | 2,500 | 1,574 | 3,420 | 3,051 | 5,772 | 4,603 | 13% |
| **Total Equity** | 19,580 | 22,908 | 39,130 | 34,286 | 42,916 | 51,556 | 21% |

# Income Statement: Last 5 Years

| KESm | 2008 | 2009 | 2010 | 2011 | 2012 | 2013 | ’08-’13 CAGR |
|---|---|---|---|---|---|---|---|
| **Interest Income** | 7,979 | 10,792 | 13,775 | 19,340 | 30,848 | 31,890 | 32% |
| **Interest Expense** | 1,362 | 1,622 | 2,062 | 3,117 | 6,884 | 5,399 | 32% |
| **Net Interest Income** | 6,617 | 9,170 | 11,713 | 16,223 | 23,964 | 26,491 | 32% |
| **Other Income** | 5,988 | 6,506 | 10,439 | 12,447 | 12,863 | 15,371 | 21% |
| **Total Income** | 12,605 | 15,676 | 22,153 | 28,670 | 36,827 | 41,861 | 27% |
| **Provisions** | 1,020 | 1,035 | 1,905 | 1,630 | 1,608 | 2,402 | 19% |
| **Operating Costs** | 6,597 | 9,421 | 11,298 | 14,361 | 17,970 | 22,711 | 28% |
| **PBT** | 5,022 | 5,278 | 9,045 | 12,834 | 17,419 | 19,004 | 30% |
| **Tax** | 1,112 | 1,044 | 1,913 | 2,509 | 5,339 | 5,726 | 39% |
| **PAT** | 3,910 | 4,234 | 7,132 | 10,325 | 12,080 | 13,278 | 28% |

# Key Financial Ratios

| | 2008 | 2009 | 2010 | 2011 | 2012 | 2013 | Q1 2014 |
|---|---|---|---|---|---|---|---|
| **Profitability** | | | | | | | |
| **NIM** | 12.2% | 12.8% | 12.0% | 11.6% | 13.0% | 12.0% | 11.6% |
| **Cost to Income Ratio** | 52% | 60% | 51% | 50% | 49% | 49% | 48.7% |
| **ROE** | 22.7% | 19.9% | 28.5% | 33.6% | 31.3% | 28.1% | 30.5% |
| **ROA** | 5.9% | 4.7% | 5.8% | 6.1% | 5.5% | 5.1% | 5.4% |
| **Asset Quality** | | | | | | | |
| **NPL Ratio** | 6.1% | 8.1% | 4.5% | 2.8% | 3.1% | 5.2% | 4.2% |
| **Cost of Risk (bps)** | 309 | 187 | 261 | 166 | 129 | 164 | 72 |
| **NPL Coverage** | 35% | 41% | 39% | 52% | 78% | 53% | 66% |
| **Liquidity / Leverage** | | | | | | | |
| **Loan / Deposit Ratio** | 87.8% | 90.7% | 74.6% | 79.0% | 80.8% | 88.4% | 87.1% |
| **Statutory Liquidity Ratio** | 47% | 32% | 40% | 37% | 46% | 34% | 33% |
| **Capital Adequacy Ratios** | | | | | | | |
| **Core Capital to Risk Weighted Assets** | 29% | 24% | 22% | 15% | 20% | 15% | 14% |
| **Core Capital to Deposits Ratio** | 31% | 26% | 21% | 16% | 21% | 22% | 21% |
| **Total Capital to Risk Weighted Assets** | 41% | 31% | 28% | 22% | 30% | 22% | 17% |


# Update on Macroeconomic Environment

# Macro-Economic Environment

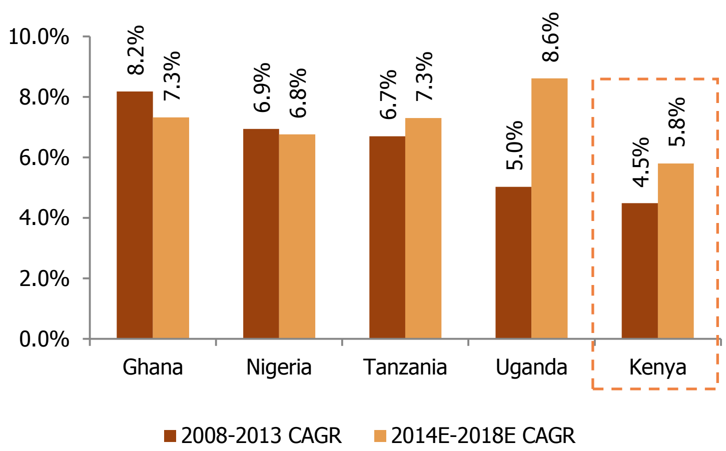
| Macro-economic Indicators | Kenya | Uganda | Rwanda | Tanzania |
|---|---|---|---|---|
| Current account to GDP | (7.5)% | (12.0)% | (10.0)% | (14.9)% |
| FX Rate (USD/Local currency) | 86.43 | 2,545.90 | 680.96 | 1,627 |
| Private Sector Credit Growth | 17.4%<br>Dec- 2013 | 11.0%<br>Apr-2013 | 14.3%<br>Jun-2013 | 13.7%<br>Oct-2013 |
| Real GDP Growth<br>(IMF 2014Forecast) | 6.2% | 6.5% | 7.5% | 7.2% |
| Inflation Rate (CPI) | 6.3% | 7.1% | 6.0% | 3.5% |

# Interest Rates

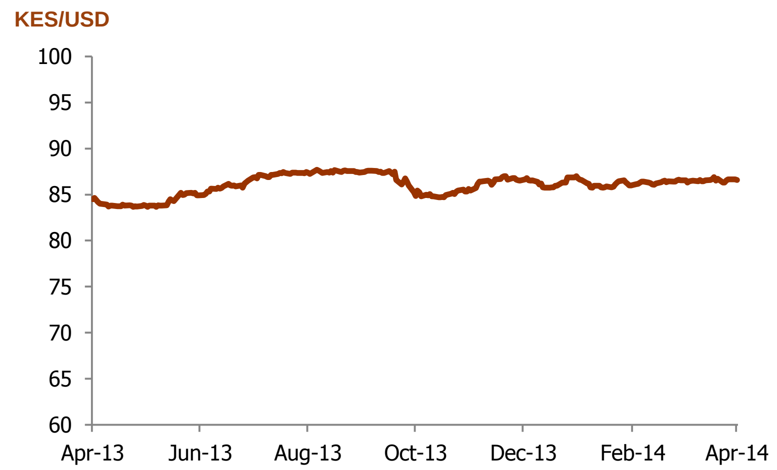
| RATES | Kenya | Uganda | Rwanda | Tanzania |
|---|---|---|---|---|
| 91 Days T-bill | 8.85% | 9.56% | 12.17% | 5.78% |
| 182 Days T-bill | 9.87% | 12% | 13.22% | 6.56% |
| 364 Days T-bill | 10.32% | 12.67% | 13.33% | 8.20% |
| Central Bank Rate | 8.5% | 11.5% | 12.0% | 7.0% |
| Interbank rate | 7.09% | 10.34% | 5.52% | 5.59% |

# Evolution of Key Macroeconomic Indicators

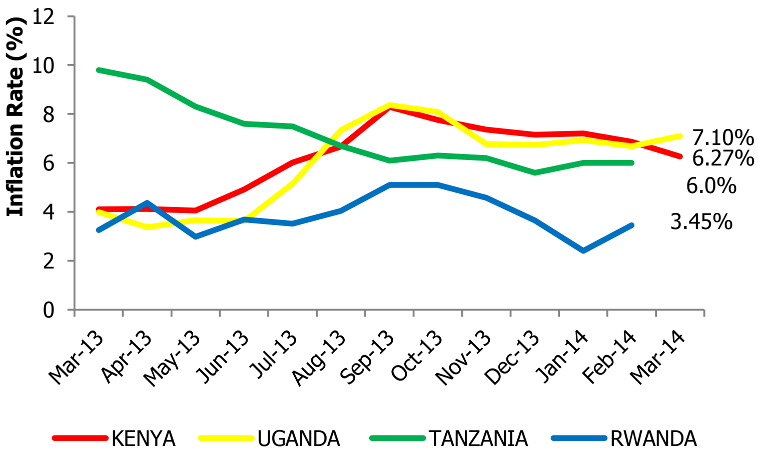
## Real GDP Growth (%) [1]



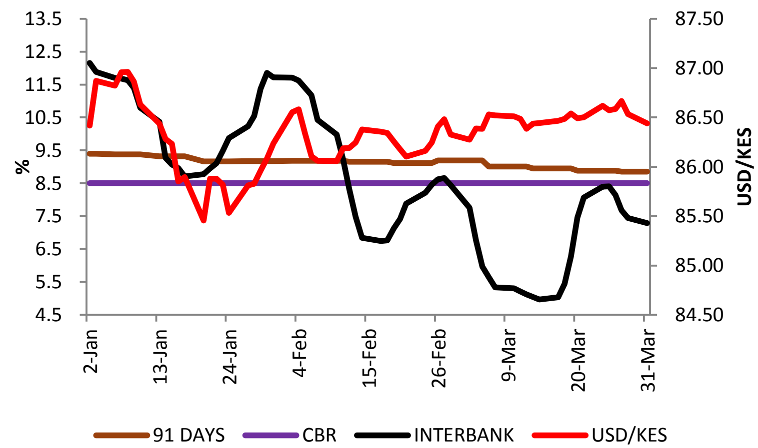

## FX Evolution [2]




## Inflation rates – CPI (%) [3]




## Interest Rates Trend in 2014 [4]




1 EIU Country Reports
2 Factset as at 8 April 2014
3 Central Bank of Kenya
4 Central Bank of Kenya

# THANK YOU

Dr James Mwangi, CBS
Group Managing Director & CEO
KeEquityBank
@KeEquityBank
Email: info@equitybank.co.ke
Web site: www.equitybankgroup.com